UNIT - IV

Group Dynamics

1. Introduction to Group Dynamics

- Human beings are social. Most work in an organisation is done not by isolated individuals but by **groups and teams** .
- Understanding how groups form, function and influence their members is essential for managers.
- The term **"group dynamics"** was coined by **Kurt Lewin** (1940s) — "dynamics" means the forces operating within a group.

2. Meaning of Group and Group Dynamics

- **Group:** Two or more individuals, interacting and interdependent, who have come together to achieve particular objectives (Robbins).
- **Group dynamics:** The study of the **forces and processes** that operate within groups — how they are formed, how members interact, how they develop, take decisions and affect each other and the organisation.

Definitions

Robbins: "A group is defined as two or more individuals, interacting and interdependent, who have come together to achieve particular objectives."

Edgar Schein: "A group is any number of people who interact with one another, are psychologically aware of one another, and perceive themselves to be a group."

Cartwright & Zander: "Group dynamics is a field of inquiry dedicated to advancing knowledge about the nature of groups, the laws of their development, and their interrelations with individuals, other groups and larger institutions."

Keith Davis: "Group dynamics refers to the interaction of forces among members in a group."

3. Nature of Group Dynamics

- Concerned with **interaction and interdependence** among members.
- **Forces** within the group (norms, roles, leadership, cohesiveness) shape behaviour.
- Groups have a **common purpose** and shared identity.
- Dynamic — groups **change and develop** over time.
- Interdisciplinary — uses psychology, sociology, social psychology.
- Behaviour of the group is **not the sum of individuals** — "the whole is greater than the sum of

its parts".

- Influences **both** individual and organisational performance.

4. Scope of Group Dynamics

Area	What is studied
Group formation	why people join, stages of formation
Group structure	roles, norms, status, size, composition
Group process	communication, decision making, conflict, leadership
Group cohesiveness	attraction among members and team spirit
Group performance	productivity, satisfaction, effectiveness
Inter-group relations	competition, cooperation, conflict
Team building	creating effective work teams
Change	group resistance and group-based change

5. Why Do People Join Groups?

- **Security** — strength in numbers reduces insecurity.
- **Status** — belonging to a respected group gives prestige.
- **Self-esteem** — gives feelings of self-worth.
- **Affiliation** — satisfies social needs (friendship).
- **Power** — achieves what cannot be done alone.
- **Goal achievement** — pooling of talent, knowledge and resources.
- Proximity, common interests, economic reasons, and attractiveness of group goals.

6. Types of Groups

Formal groups

- Created by the organisation to achieve specific goals; defined by structure, roles and authority.
- **Command group** — a manager and subordinates reporting to him (e.g., sales manager and his team).
- **Task group / Task force** — formed to complete a specific job or project; disbanded after (e.g., a project team).
- **Functional group** — a permanent group in a function, e.g., finance dept.
- **Committees** — standing or ad hoc committees.

Informal groups

- Naturally formed by social relations and common interests, not by the organisation.
- **Interest group** — to achieve a specific objective of common concern (e.g., employees wanting a

change in leave policy).

- **Friendship group** — based on shared characteristics like age, hobbies, region, caste.
- **Reference group** — a group a person identifies with and uses to evaluate own behaviour.

Basis	Formal group	Informal group
Formation	deliberately by management	spontaneous by members
Purpose	organisational goals	social needs, interests
Structure	defined hierarchy, rules	no fixed structure, natural leaders
Authority	from position	from personal influence
Communication	official channels	grapevine
Life	permanent or project-linked	continues as long as interest lasts

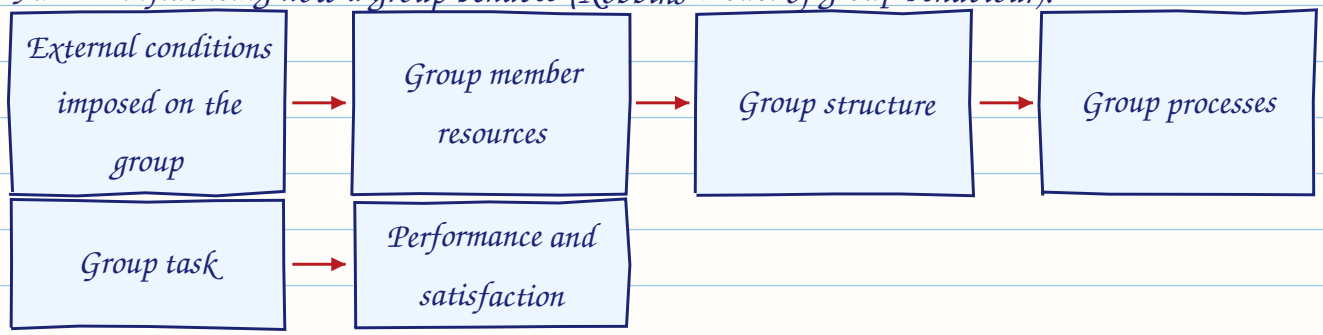
- **Other classifications:** primary and secondary groups; in-group and out-group; membership and reference groups; temporary and permanent.

Importance of informal groups

- Satisfy social needs; supplement formal communication; give support in work; but can spread rumours, resist change and restrict output.

7. Determinants of Group Behaviour

Factors influencing how a group behaves (Robbins' model of group behaviour):



(i) External conditions

- Organisation's strategy, authority structure, formal rules, resources, selection process, performance management system, culture, physical work setting.

(ii) Group member resources

- Knowledge, skills, abilities; personality traits (sociability, initiative, openness); age, gender, race, diversity; values.

(iii) Group structure

- Formal leadership, roles, norms, status, size, composition and cohesiveness.

(iv) Group processes

- Communication patterns, decision making, power dynamics, conflict, interactions.

(v) Group task

- Simple or complex; interdependence of members.

Other determinants

Group size | Composition (homogeneous / heterogeneous) | Leadership | Physical setting | Reward system | Goals | Past history | Individual motives.

8. Group Structure Variables

- **Roles** — set of expected behaviour patterns attached to a position. Role identity, role perception, role expectation, role conflict, role ambiguity.
- **Norms** — acceptable standards of behaviour shared by members.
- **Status** — social position or rank given to a group or member by others.
- **Size** — 5 to 7 members is the usually most effective; large groups → social loafing.
- **Composition** — mix of skills, personality and diversity.
- **Cohesiveness** — degree to which members are attracted to each other and the group.

Social loafing

- Tendency of individuals to put in less effort when working in a group than alone (the "free-rider" problem). Reduced by clear individual accountability.

9. Group Process

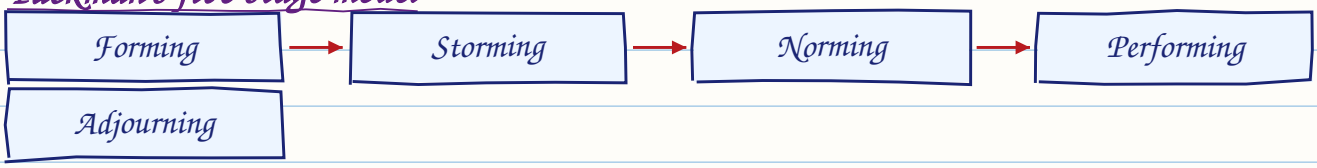
Meaning: The pattern of interactions among members as the group works — how they communicate, make decisions, lead, resolve conflict, and use power.

- **Communication:** formal channels (downward, upward, horizontal) and informal grapevine; networks — **chain, wheel, circle, all-channel (star)**.
- **Leadership:** task leader and social-emotional leader.
- **Decision-making:** consensus, majority, authority.
- **Conflict and power:** use of influence, politics, bargaining.
- **Interaction:** frequency, intensity, direction.
- **Interaction process analysis (Bales):** task contributions vs socio-emotional contributions.

Communication network	Speed	Best suited for
Chain	moderate	formal hierarchy, accuracy
Wheel	fast (for simple tasks)	simple tasks, strong leader
Circle	slow	high member satisfaction
All-channel (star)	fast and flexible	complex tasks, creativity, team satisfaction

10. Group Development (Stages)

Tuckman's five-stage model



Stage	Description
1. Forming	members get acquainted; uncertainty about purpose, structure, leadership; testing of acceptable behaviour; dependence on leader
2. Storming	intra-group conflict; resistance to leader and control; disagreements over who leads and what to do; ends with clear leadership hierarchy
3. Norming	close relationships; cohesiveness; sense of group identity; rules and norms are set; the group works as a unit
4. Performing	structure is fully functional and accepted; energy goes into the task; team is productive and mature
5. Adjourning	for temporary groups: wrapping up, performance is no longer a priority; mixed emotions (pride and sadness)

Punctuated-equilibrium model (Gersick)

- For temporary groups with deadlines: groups pass through inertia (phase 1), a **transition** at midpoint (halfway to the deadline), then another phase of inertia and a burst of activity to completion.

→ Not all groups go in a clean sequence; stages can overlap, and sometimes revert.

11. Group Norms

Meaning: Norms are acceptable standards of behaviour that are shared by the members of a group; they tell members what they ought and ought not to do under given circumstances.

- Unwritten "rules of the game"; they apply to **behaviour** not to thoughts.

Types of norms

- **Performance norms** — how hard to work, output level, tardiness.
- **Appearance norms** — dress code, loyalty displays.
- **Social arrangement norms** — whom to lunch with, friendships.
- **Resource allocation norms** — pay, assignments, equipment.

How norms develop

- Explicit statements by leaders or members, critical events in the group's history, primacy (first behaviour), carry-over from past situations.

Importance and functions

- Provide predictability and order; reduce confusion; protect the group; express central values; help the group survive.
- **Conformity** — pressure to adjust own behaviour (Asch's line experiment). **Deviants** are punished or rejected.
- **Hawthorne studies (Elton Mayo):** showed the power of informal group norms — in the bank wiring room, workers restricted output to a norm.
- Norms can be positive (help quality, teamwork) or negative (restricting output, absenteeism).

12. Group Cohesiveness

Meaning: The degree to which members are attracted to each other and are motivated to stay in the group — the "we-feeling" or team spirit.

Factors increasing cohesiveness

Time together more interaction builds attachment	**Initiation** tough entry makes members value group
Group size smaller groups are more cohesive	**Gender / similarity** similar values, backgrounds help
External threat common enemy brings unity	**Past success** success increases attraction

Factors decreasing cohesiveness

- Large size, disagreement on goals, intense internal competition, unpleasant experiences, domination by one or more members, failures.

Cohesiveness and productivity

	Low cohesiveness	High cohesiveness
High alignment with organisational goals	moderate productivity	**high productivity**
Low alignment with organisational goals	low productivity	**low productivity** (group resists management)

- The effect depends on the **performance norms** — cohesive groups follow their norm, positive or negative.

Consequences of high cohesiveness

- Greater satisfaction, lower absenteeism, stable membership; but may lead to **groupthink**, resistance to change, conformity.

How managers can increase cohesiveness

- Make the group smaller; encourage agreement on goals; increase time spent together; link rewards to group performance; stimulate competition with other groups; physical isolation.

13. Small Groups

- Groups of **2 to about 15 members** where each can interact face-to-face with the others.
- **Characteristics:** direct interaction, shared goals, interdependence, defined roles and norms, mutual awareness, and a sense of belonging.
- **Advantages:** better participation and commitment; easy communication; quick decisions; high cohesiveness; mutual support; opportunity to develop leadership; more creativity; flexible.
- **Limitations:** dominant members, conformity, groupthink, limited resources/skills, social loafing, dependence on few persons.
- **Ideal size:** 5–7 members (odd number avoids deadlocks).

Examples of small groups at work

- Quality circles, project teams, committees, task forces, self-managed work teams, work cells.

Quality Circles

A small group (6–12 volunteers) from the same work area who meet regularly to identify, analyse and solve work-related quality problems. Origin: Japan; used in India by BHEL, etc.

14. Group Decision Making

- Decisions in organisations are often taken by groups: committees, boards, teams, review panels.

Advantages of group decisions

- More complete information and knowledge; **more alternatives** generated; **increased acceptance** and commitment; greater legitimacy; diversity of views.

Disadvantages

- **Time-consuming** ; pressure to conform; **dominance** by a few; **ambiguous responsibility** ; chance of **groupthink** and **group shift** .

Groupthink (Irving Janis)

- A mode of thinking in which the desire for agreement and unity overrides the realistic appraisal of alternatives. Symptoms: illusion of invulnerability, rationalisation, belief in group's morality, stereotyping outsiders, self-censorship, pressure on dissenters, illusion of unanimity, "mind guards".
- Prevention: encourage criticism, appoint a devil's advocate, invite outside experts, hold second-chance meetings, leader remains impartial.

Group shift (risky shift)

- Group decisions tend to be more extreme (risky or cautious) than the average of the individual members' decisions.

Techniques of group decision making

Technique	Description
Brainstorming	free flow of ideas, no criticism during idea generation; quantity first
Nominal Group Technique	members write ideas independently, then discuss and rank by vote; limited verbal interaction
Delphi technique	experts answer questionnaires over several rounds anonymously; the results are fed back; consensus is built
Electronic meeting	members type anonymously on computers; results shown on a screen; fast and honest
Interacting group	usual face-to-face meeting
Devil's advocate / dialectical inquiry	assigned critic or two opposing sub-groups to test a decision

Criterion	Interacting	Brainstorming	Nominal	Delphi
Number of ideas	low	moderate	high	high
Social pressure	high	low	moderate	low
Time / cost	low cost	low cost	low cost	high cost
Task orientation	low	high	high	high
Interpersonal conflict	high	low	moderate	low

15. Team Building

- A **team** is a group whose members' individual efforts result in a performance that is **greater than the sum of individual inputs** — synergy; there is positive synergy, mutual accountability and complementary skills.

Group vs team

Basis	Work group	Work team
Goal	share information	collective performance
Synergy	neutral / negative	positive
Accountability	individual	individual and mutual
Skills	random and varied	complementary
Leadership	strong single leader	shared leadership

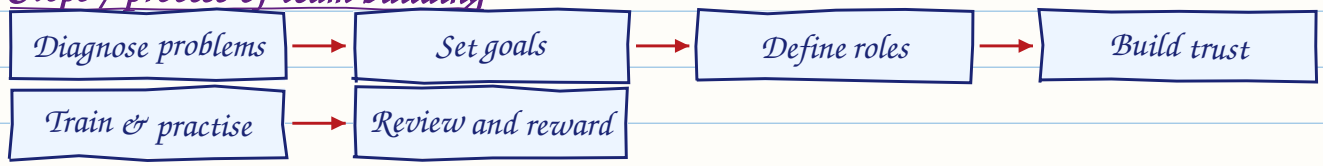
Types of teams

- **Problem-solving teams** , **self-managed (self-directed) teams** , **cross-functional teams** , **virtual teams** , **project teams** , **management teams** .

Team building — meaning

- Planned, systematic process of developing a group of individuals into an effective team with trust, commitment, co-operation and shared goals.

Steps / process of team building



Characteristics of an effective team

- Clear goals, relevant skills, mutual trust, unified commitment, good communication, appropriate leadership, internal and external support, balanced roles.
- **Belbin's team roles:** Plant, Resource Investigator, Co-ordinator, Shaper, Monitor-Evaluator, Teamworker, Implementer, Completer-Finisher, Specialist.

Techniques / activities for team building

- Outbound training and adventure activities; role clarification; team-building games and simulations; goal-setting workshops; problem-solving sessions; retreats; feedback sessions; process consultation.

Benefits

- Higher productivity, creativity, better morale, more flexibility, quick problem-solving, improved communication, reduced conflict.

Problems

- Social loafing, free riders, conflict, wrong composition, poor leadership, groupthink.

16. Conflict in the Organisation

- **Conflict** = disagreement or clash between two or more parties when one perceives that the other has obstructed or will obstruct its goals.

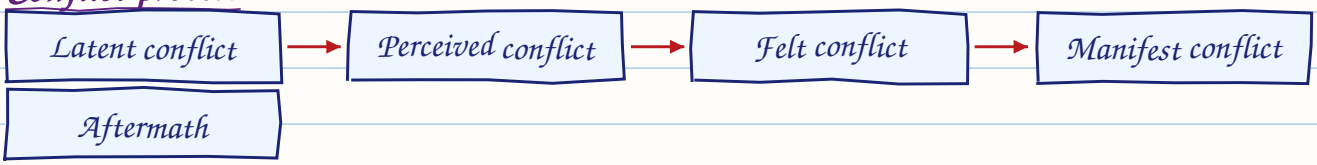
Levels / types of conflict

- Intra-individual (role conflict), inter-personal, intra-group, inter-group, inter-organisational.

Sources / causes in groups

- Limited resources; incompatible goals; differences in values, perceptions and personality; task interdependence; poor communication; ambiguous roles or responsibilities; competition for status and power; different time horizons; change.

Conflict process

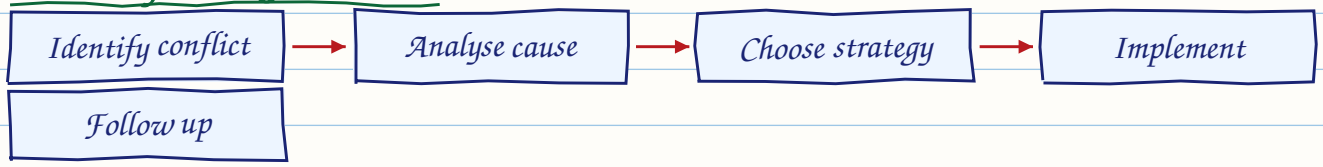


(Pondy's five stages — each conflict episode leaves an aftermath that influences future conflicts.)

Effects

	Positive effects	Negative effects
Individuals	creativity, motivation, self-awareness	stress, anger, absenteeism
Groups	better decisions, clarity of problems	lower cohesion, poor communication
Organisation	innovation, change, adaptation	wasted resources, lost productivity

17. Conflict Resolution



Approaches

- **Avoidance** — ignore or postpone; temporary.
- **Accommodation (smoothing)** — yield to others to keep peace.
- **Competition (forcing)** — use power to win.
- **Compromise** — each party gives up something.
- **Collaboration (integrative problem-solving)** — find a solution satisfying all (win–win).

Structural approaches

- Create **superordinate goals** (common goal for the conflicting groups).
- **Expand resources** , increase supply.
- **Clarify roles** and responsibilities; develop clear rules.
- **Job rotation** , **liaison roles** , integrator, **task forces** .
- **Authoritative command** — the manager decides.
- **Reward co-operation** rather than competition.

Third-party interventions

- **Mediation** (neutral person helps), **arbitration** (binding judgement), **conciliation** , **ombudsman** , **grievance redress committee** .

Inter-group conflict resolution techniques

- **Confrontation meeting / problem-solving** , **Bargaining and negotiation** (distributive vs integrative), **exchange of members** , **organisational development interventions** , **intergroup team building** .

Principles of managing conflict

- Address early; focus on issues not persons; listen actively; use facts; seek common ground; maintain respect; keep communication open; follow through.

→ Link: Individual-level conflict handling styles (Thomas–Kilmann) were explained in Unit III.

17A. Roles, Status and Power in Groups

Role concepts

- **Role identity** — attitudes and behaviours consistent with a role.
- **Role perception** — one's view of how to act in a given situation.
- **Role expectation** — how others believe a person should act.
- **Role conflict** — when complying with one role makes it hard to comply with another (e.g., a manager who is also a friend).
- **Role ambiguity** — unclear expectations.
- **Role overload / underload** — too much or too little to do.

Status

- Status can be **formal** (title, rank) or **informal** (education, skill, age, seniority).
- Status symbols: office size, car, designation, parking space.
- **Status inequity** — when members' perception of status differs from reality; causes frustration.

Power in groups (bases of power)

- Coercive, reward, legitimate, expert, referent.
- Groups use **politics, coalitions, bargaining** for influence.

17B. The Hawthorne Studies (importance for group behaviour)

- Conducted at Western Electric's Hawthorne plant (Chicago) by **Elton Mayo** (1924–32).

Experiment	Finding
Illumination experiments	productivity rose in both test and control groups; lighting was not the main factor
Relay assembly test room	special attention and group spirit raised output — the **Hawthorne effect**
Interviewing programme	employee grievances and feelings are linked to social factors, not only pay
Bank wiring observation room	informal group norms restricted output; the group controlled its members

- **Conclusions:** social needs, informal groups, group norms, participation and supervisory attention affect performance more than physical conditions. This led to the **Human Relations**

movement .

17C. Conformity and Group Pressure

- **Conformity** — adjusting one's behaviour to align with group standards.
- **Asch's experiment (1951):** in a line-judgement task about 35% of responses conformed to the group's obviously wrong answer.
- **Reference groups** push conformity; high-status members have more freedom to deviate.
- **Deviant workplace behaviour** — violating norms: theft, sabotage, aggression, withdrawal.

Individual vs group performance

Basis	Individual	Group
Accuracy	less accurate	usually more accurate
Speed	faster	slower
Creativity	less	more (if diverse)
Efficiency	more efficient	less efficient (people-hours)
Risk	personal	shared; group shift
Acceptance	low	high

17D. Informal Organisation and the Grapevine

- The **informal organisation** is the network of personal and social relations that arises spontaneously.
- **Grapevine** — informal communication network; fast, 75% accurate, flows in all directions.
- Types of grapevine chains: **single-strand, gossip, probability, cluster** (the cluster chain is the most common).

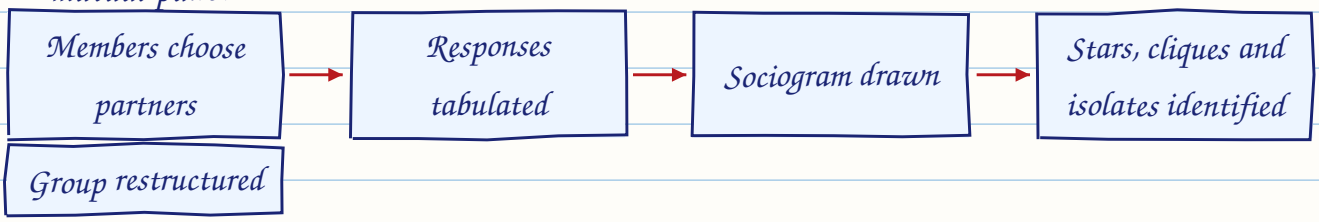
Positive and negative aspects

- Positive: speeds up communication, gives feedback to managers, supports social needs, builds morale.
- Negative: rumours, resistance to change, spreads incorrect information, lowers output through restrictive norms.
- Managers should **use** the informal organisation, not suppress it — identify opinion leaders and keep communication open.

17E. Sociometry and Group Analysis

- **Sociometry** (J. L. Moreno) — technique for studying the pattern of attraction and rejection among members by asking members to name preferred partners.
- Result is shown as a **sociogram** — diagram with stars (popular), isolates (ignored), cliques,

mutual pairs.



- **Johari window:** open, blind, hidden and unknown areas of self — useful in group feedback and team-building.

Effective group meeting — tips

- Clear agenda, right participants, start and end on time, encourage participation, record decisions and assign actions.

17F. Inter-group Relations and Intergroup Conflict

- **Intergroup behaviour** — how groups perceive, compete and cooperate with each other.
- When groups compete: each group becomes more cohesive; leadership becomes more autocratic and task-oriented; group loyalty rises; **"we vs they"** and stereotyping appear; perception is distorted ("our group is better").
- **Sherif's Robbers Cave experiment** — conflict between two boys' camps; ended when they were given superordinate goals.

Reducing intergroup conflict

Method	How it works
Superordinate goals	a goal both groups want, which neither can achieve alone
Increased contact	joint meetings, social events, job rotation
Integrating roles	liaison officers, task forces
Joint training and projects	shared experiences and understanding
Third-party consultation	OD consultants help in diagnosing and solving
Reward for cooperation	rewards are tied to joint performance

18. Quick Revision — Unit IV

Must remember

Group = 2 or more interacting, interdependent members | Types: formal (command, task) and informal (interest, friendship) | Tuckman: Forming, Storming, Norming, Performing, Adjourning | Norms = standards of behaviour | Cohesiveness + positive norms = high productivity | Group decision: brainstorming, NGT, Delphi | Groupthink | Team = synergy.

Possible exam questions

1. Define group dynamics. Explain nature and scope.
2. Explain the types of groups with examples.
3. What are the determinants of group behaviour?
4. Explain the stages of group development.
5. Define group norms and cohesiveness. How can cohesiveness be increased?
6. Explain group decision making techniques; discuss groupthink.
7. What is team building? How do you build an effective team?
8. Discuss the causes of conflict in organisations and methods of resolving it.